

seen insiders at these banks buying on the way down. Even they were caught by the greater trend, which they didn't see.

Besides being short banks and mortgage lenders, what other trades accounted for your 2008 gains?

Energy stocks were a major winner for us in 2008. During the first half of the year, we made money on the long side. Then prices started going way beyond what we thought was reasonable, so we scaled out of our position. When prices went up even more, we started going net short. When energy stock prices broke after the reversal in crude oil, we switched back to the long side around the time when crude had fallen back to the \$90 level, which it turned out was way too early. But then we realized that things were getting worse and worse, so we took our losses on the longs, went back short, and played the trend down.

Also, we had a lot of days when the market opened up sharply higher and closed sharply lower. One thing that I learned as a trader is that if the market [Dow] moves up 400 points in the morning, you usually don't go much further. Every time there was a big rally, we would put our shorts on, and on a selloff, we would cover the shorts.

[Nick Davidge who has been sitting in for the interview interjects.] I annualized our turnover for the second half of 2008, and it was 23X of which 21X was in trades initiated as shorts.

When did you transition from a net bearish bias in late 2008 back to a bullish bias?

We went long after Obama was elected. There was tremendous disenchantment with the Bush administration at that point. They had lost confidence across the board, including a lot of the business community. Obama was talking about policies to get the economy going. He was going to spend money. He was going to save the states, which were going down big-time. No matter what you think of the policies, they were throwing money back into the system, which was bullish. In early 2009, we started looking around for the best business models and balance sheets we could buy. We were looking for stocks with the lowest financial risk—companies that did not need to refinance debt and could ride out a prolonged, deep recession. We went long a bunch of the no-